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Eliminating Discount Window Stigma: What Can We Learn from Abroad?¹

*Susan McLaughlin*²

April 15, 2025

Abstract

This article picks up from an earlier *Journal of Financial Crisis* policy note on discount window design to see how the experiences of other central banks can inform work to redesign the discount window to reduce stigma. As explained in that article, banks' reluctance to use the discount window is problematic for financial stability as it constrains the Fed's ability to use its liquidity provision tools to stem runs and mitigate contagion in times of stress. The stigma associated with discount window borrowing in the United States is well documented and is a multifaceted phenomenon.

Keywords: banking, central banking, crisis management, financial institutions, financial stability, liquidity, LOLR

¹ A version of this note was originally published on the Yale Program on Financial Stability's *Systemic Risk Blog* on July 10, 2024.

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Introduction

This article picks up from “Policy Note: Discount Window Stigma: What’s Design Got to Do with It?” (McLaughlin 2024a), an earlier piece on discount window design to see how the experiences of other central banks can inform work to redesign the discount window to reduce stigma. As explained in that article, banks’ reluctance to use the discount window is problematic for financial stability as it constrains the Fed’s ability to use its liquidity provision tools to stem runs and mitigate contagion in times of stress. The stigma associated with discount window borrowing in the United States is well documented and is a multifaceted phenomenon, as described in another previous article (McLaughlin 2023).

However, some other central banks do not experience the same degree of stigmatization of their lending tools. This Policy Note examines the liquidity provision tools of four other central banks—the Bank of Canada (BoC), the Bank of England (BoE), the European Central Bank (ECB), and the Swiss National Bank (SNB)—to explore lessons from their liquidity tools that could be applied to make the Fed’s lender-of-last-resort tools more effective and less stigmatized. These central banks were chosen both for the transparency of their operating frameworks and because little or no stigma is associated with their on-demand liquidity provision tools.

How do we know that these central banks’ standing liquidity facilities are not stigmatized? In the reserves scarcity frameworks that many central banks used to implement monetary policy before the Global Financial Crisis (GFC), standing facilities were designed to get reserves to banks that weren’t able to obtain them in the market on a given day. They were priced to put a ceiling on money market rates, as a means to limit rate volatility and support interest rate control. Stigma was evident when banks preferred to pay a higher rate to borrow in the market to avoid using the central bank’s standing facility.³ But at present, just like the Fed, the BoC, BoE, ECB, and SNB are all operating with abundant levels of reserves, with relatively little demand for central bank liquidity except in periods of financial market stress, making usage-based assessments of stigma difficult. To determine whether these central banks’ facilities experience the type of stigma associated with the discount window, I reviewed the few academic pieces that have been published on the topic and spoke with staff at each central bank about their assessment of stigma based on their ongoing market monitoring.⁴ In all four cases, staff confirmed that they saw no evidence of stigma that would deter banks from using the central bank’s standing facilities when needed, based both on their ongoing conversations with banks and banks’ willingness to use standing facilities in recent episodes of funding market stress.

³ For examples of empirical evidence of discount window stigma in the US, which demonstrate banks’ willingness to pay up in the market rather than obtain a cheaper rate at the window, see Furfine (2004).

⁴ For an assessment of stigma in ECB standing facilities, see Lee and Sarkar (2018). Also see Lee and Sarkar (2016) for an assessment of the impact of post-GFC reforms of the BoE’s standing facilities on stigma.

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How Are Other Central Banks' Liquidity Provision Tools Designed?

Figures 1 through 5 summarize publicly available information on the current BoC, BoE, ECB, and SNB operating frameworks for liquidity provision to the banking sector. The focus here is provision of local currency liquidity, on an overnight basis, and excludes cross-currency tools such as central bank swaps. Figure 1 shows the tools each central bank has to provide liquidity to banks, categorized as monetary policy tools, liquidity backstop tools, recovery funding and, where the central bank plays a role in it, resolution funding. Figure 2 summarizes how these tools are priced. Figure 3 highlights several features of these frameworks for liquidity provision that contrast with the Fed's framework. Figure 4 illustrates how these central banks communicate about their liquidity provision tools. Figure 5 summarizes how supervisors in each jurisdiction treat capacity to borrow at the central bank in their oversight of banks' liquidity risk management.

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Figure 1: Central Bank Frameworks for Overnight or Term Liquidity Provision to Banks

	Bank of Canada	Bank of England	European Central Bank	Swiss National Bank	Federal Reserve
Banks can obtain liquidity as counterparties in monetary policy operations (when central bank is injecting liquidity)	Yes, if solvent • SLF^a • O/N repo	Yes, if solvent • OSF • ST repo	Yes, if financially sound ^b • MRO • LTRO	Yes, if solvent • Repos	No; most banks are ineligible to become primary dealers. Only primary dealers can participate in repos conducted to implement monetary policy. SRF access only
Banks have access to a standing liquidity facility to meet routine temporary funding needs and to mitigate payment system and financial stability risks	Yes, if no evidence of soundness concerns • STLF	Yes, if solvent • DWF • ILTR In case of market-wide event • CTRF	Yes, if financially sound ^b • MLF	Yes, if solvent • LSFF	Yes, if CAMELS 1,2,3 ^c • Primary credit Yes, if CAMELS 4,5 ^c • Secondary credit
Banks can borrow to support their recovery	Yes, if banks meet ELA eligibility criteria • ELA	Yes, if solvent and there is a financial stability rationale and UK Treasury approval • ELA	Yes, if solvent • ELA (provided by the national central bank)	Yes, if solvent and systemically important • ELA	Yes, if CAMELS 4,5 ^{c,d} • Secondary credit
Provider of liquidity to facilitate resolution of failing bank (to the extent liquidation of assets does not yield sufficient liquidity to meet all obligations to depositors)	Canada Deposit Insurance Corporation The BoC may provide ELA to support the FI's resolution if there is sufficient collateral and a very credible path to repayment, in coordination with the CDIC	Deposit Guarantee Scheme In some cases, ELA could be provided to support the resolution of a systemically important bank	Single Resolution Fund for banks under ECB supervision National resolution authority for smaller banks (in some jurisdictions, may include ELA from national central bank to support resolution process)	Esisuisse (private agency that manages the Swiss depositor protection scheme) Note: Swiss Federal Council is now considering legislation to establish a public liquidity backstop for a systemic bank in resolution	Federal Deposit Insurance Corporation In some cases, discount window lending may be used to temporarily fund a bridge bank as part of the resolution process

^a Acronyms used in this figure are BoC: Bank of Canada; CDIC: Canada Deposit Insurance Corporation; CTRF: Contingent Term Repo Facility; DWF: Discount Window Facility; ECB: European Central Bank; ELA: emergency liquidity assistance; FI: financial institution; ILTR: Index Long-Term Repo; LSFF: Liquidity-Shortage Financing Facility; LTRO: Long Term Refinancing Operations; MLF: Marginal Lending Facility; MRO: Main Refinancing Operations; O/N repo: overnight repo; OSF: Operational Standing Facility; Repo: repurchase agreement; SLF: Standing Liquidity Facility; SRF: Standing Repo Facility; ST repo: short-term repo; STLF: Standing Term Liquidity Facility.

^b Per Article 55 of EU Guideline 2015/510 of the European Central Bank.

^c CAMELS are composite supervisory ratings of bank condition; 1 is the highest rating, 5 the lowest.

^d Subject to limits on lending to undercapitalized institutions under the FDIC Improvement Act of 1991.

Sources: ECB 2015; Stackhouse 2018; and the websites of the Bank of Canada, Bank of England, European Central Bank, Federal Reserve, and Swiss National Bank.

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Figure 2: Pricing of “On-Demand” Standing Liquidity Facilities for Sound Banks

	Bank of Canada	Bank of England	European Central Bank	Swiss National Bank	Federal Reserve
Policy rate	Overnight interbank rate	Bank rate	Deposit facility rate	Swiss National Bank policy rate	Fed funds rate
Pricing of standing facilities for sound banks	STLF (up to 30 days) 1-mo OIS + 35 bps ^b for marketable collateral 1-mo OIS + 75 bps ^b for nonmarketable collateral	DWF (up to 30 days) Fee based on collateral type and quantity borrowed ILTR (6 months) Minimum bid: Level A = BR Level B = BR + 5 bps Level C = BR + 15 bps	MLF (overnight) DFR + 75 bps ^c	LSFF (overnight) SNBPR + 50 bps ^d	Primary credit (up to 90 days) Top of FF range

^a Acronyms used in this figure are bps: basis points; BR: bank rate; DFR: deposit facility rate; DWF: Discount Window Facility; FF: federal funds rate; ILTR: Index Long-Term Repo; LSFF: Liquidity-Shortage Financing Facility; MLF: Marginal Lending Facility; OIR: overnight interbank rate; OIS: overnight indexed swap; SNBPR: Swiss National Bank policy rate; STLF: Standing Term Liquidity Facility.

^b STLF rate can never be less than the bank rate, equal to OIR + 25, according to Bank of England website.

^c The European Central Bank announced that the MLF rate will be reduced to DFR + 40 effective September 18, 2024.

^d The LSFF rate can never be less than 0%, according to the Swiss National Bank website.

Sources: (BoE 2019; ECB 2015; Stackhouse 2018).

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Figure 3: Differences between Fed and other Central Bank Operating Frameworks

	Bank of Canada, Bank of England, European Central Bank, Swiss National Bank	Federal Reserve
Monetary policy implementation tools and counterparties	In recent years, collateralized lending has played a relatively large role in the implementation of monetary policy operations designed to add liquidity to the system As counterparties to monetary policy operations, banks have had routine, on-demand access to central bank liquidity even aside from standing facilities	In recent years, collateralized lending has played a relatively smaller role (relative to outright purchases of securities) in the implementation of monetary policy operations designed to add liquidity to the system Most banks are not eligible to become primary dealers and cannot participate in liquidity-injecting repo operations—though they are eligible to borrow at the Fed’s Standing Repo Facility as well as the discount window
Eligibility criteria for access to standing liquidity facilities	Standing facilities that provide routine, on-demand liquidity to meet temporary needs are only available to “solvent” banks. Liquidity needs of troubled banks are typically met with different tools, often subject to different governance	Both sound and troubled banks have access to the discount window, albeit on different terms Banks that are judged by their supervisor to be “generally sound”^a can use primary credit; banks that are not may use secondary credit
Determination of eligibility	The solvency judgment is informed primarily by supervisory assessments of capital adequacy. Solvency is not precisely defined in the central bank’s public communication	Eligibility for primary or secondary credit is determined by the composite CAMELS rating from the bank’s primary regulator, which reflects not only capital adequacy but other considerations including asset quality, management capability, earnings, liquidity, and sensitivity to market risk
Public/quasi-public sector alternatives to central bank liquidity	The central bank is the sole public sector entity that can provide a liquidity backstop to banks outside of a resolution process	Banks can borrow from their Federal Home Loan Bank when they have funding needs they cannot fulfill in the market, on terms that are often favorable relative to the discount window
Transparency of central bank lending transactions to public	The central bank is not required by law to publish the details of loans it makes to banks	The central bank is required by law to disclose all details of all discount window borrowing transactions to the public, at a two-year lag

^a In the US context, for purposes of central bank liquidity provision, “sound” banks are defined as those with a composite CAMELS rating of 3 or better. “Weaker” banks have a composite CAMELS rating of 4 or lower.

Source: Author’s analysis.

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Figure 4: Central Banks' Communication about Standing Liquidity Facilities

Bank of Canada Framework for Market Operations	The STLF ^a is intended to provide improved confidence that an eligible financial institution facing liquidity stress will have access to central bank liquidity on terms that are known in advance . A financial institution can face liquidity stress from various sources, including system-wide liquidity conditions as well as operational incidents such as cyber attacks, system failures and natural disasters. The institution is eligible to draw on the facility if the Bank has no concerns about its financial soundness .
Bank of England Market Operations Guide	All of our liquidity facilities are intended to support our “ open for business ” approach. This means there is no presumptive order of usage . An eligible firm can choose to meet a liquidity need by using our liquidity facilities, alongside market sources of liquidity and their own liquidity buffers according to their own preference . The decision when and how to use facilities is up to each firm . We would not expect firms to rely solely on our facilities for routine day-to-day liquidity management (and we have priced those facilities accordingly). But neither are our facilities intended to be only a last resort .
European Central Bank webpage on the Eurosystem's instruments	The Eurosystem intends to provide central bank reserves through a broad mix of instruments in order to offer an effective, flexible and stable source of liquidity to the banking system, thereby also supporting financial stability .
March 2024 announcement of changes to European Central Bank's monetary policy implementation framework	The operational framework needs to be robust to different monetary policy configurations as well as different financial and liquidity environments, and consistent with the use of the monetary policy instruments set out in the ECB's monetary policy strategy .
Guidelines on Swiss National Bank monetary policy instruments	For monetary policy instruments, a distinction is made between open market operations and standing facilities. In the case of open market operations, the SNB takes the initiative in the transaction, while for the standing facilities it merely specifies the conditions at which counterparties can obtain liquidity . Open market operations comprise repo transactions, issues of SNB Bills, and their purchase and sale in the secondary market. Standing facilities include the liquidity-shortage financing facility and the intraday facility .
Federal Reserve System Discount Window website	Primary credit is available to generally sound depository institutions. . . . Secondary credit is available to meet backup liquidity needs when its use is consistent with a timely return to a reliance on market sources of funding or the orderly resolution of a troubled institution.
Federal Reserve Operating Circular No. 10, Section 14.1	The Bank is not obligated by the Lending Agreement or otherwise to make, increase, renew, or extend any Advance to the Borrower.

Note: Direct quotes, emphasis added.

^aSTLF: Standing Term Liquidity Facility.

Sources: BoC 2021; BoE 2025; ECB 2024; ECB n.d.; Federal Reserve 2023; Federal Reserve 2024a; SNB 2023.

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Figure 5: Supervisory Treatment of Borrowing Capacity across Jurisdictions

	Canada	UK	Euro area	Switzerland	US
Central bank borrowing capacity may be counted as a source of funding in resolution plans	Yes, while the bank is solvent	No, but firm is expected to plan for funding in resolution ^a	Yes, for routine standing facilities	No	Yes, for a limited time period ^b
Central bank borrowing capacity may be counted as a source of funding in internal stress tests	Yes, STLF ^c was included in 2023 solvency stress test	No	Yes; banks must have a policy regarding normal versus stress usage	No	No
Banks must periodically test readiness to use central bank facilities	No	Yes; regular testing required, more often for larger banks	No	Yes, the Swiss National Bank conducts tests LSFF with banks regularly	No
Unencumbered collateral pledged to the central bank can be counted in the LCR calculation	HQLA only	HQLA only	HQLA only	HQLA only	HQLA only

^a See the Bank of England's statement of policy on funding in resolution at BoE (2019).

^b Guidance published by the banking regulatory agencies in the US in February 2019 notes that a bank holding company "may assume that its depository institutions will have access to the discount window only for a few days after the point of failure to facilitate orderly resolution" (Federal Reserve 2020).

^c Acronyms used in this figure are HQLA: high-quality liquid assets; LCR: liquid capital ratio; LSFF: Liquidity-Shortage Financing Facility; STLF: Standing Term Liquidity Facility.

Sources: BoE 2019; de Groen 2018; Federal Reserve 2020; author's analysis.

Observations from Cross-Jurisdictional Comparisons

Operating framework design affects the level of stigma associated with the central bank's liquidity provision tools. As shown in Figure 1, the BoC, BoE, ECB, and SNB all draw a much brighter line between on-demand lending to healthy banks and discretionary lending to troubled ones. Clear separation helps to avoid stigmatizing use of the on-demand facility. By contrast, as argued in a previous article, the Fed's administration of programs for lending to both healthy and troubled banks under a single discount window appears to have stigmatized primary credit by association with secondary credit (McLaughlin 2024a).

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Differences in how monetary policy is implemented also matter for stigma. The US monetary policy framework does not rely on liquidity provision to banks in periods of policy accommodation—unlike other jurisdictions—for two reasons. First, in recent years, collateralized lending has played a smaller role in US liquidity-providing operations (relative to asset purchases) than in other jurisdictions. The BoC, BoE, ECB, and SNB relied heavily on term repos with banks to inject liquidity during the pandemic, compared with the Fed, which relied more heavily on large scale asset purchases from primary dealers. Second, while banks are counterparties for monetary policy operations of all four peer central banks analyzed above, very few banks meet the eligibility requirements to participate in the Fed’s monetary policy operations (FRBNY n.d.). As a result, bank borrowing from these four central banks has been more commonplace, and thereby less stigmatized, than in the US. Banks in the US appear to be less incentivized to pre-position collateral at the central bank than those operating in jurisdictions where pre-positioned collateral can also be utilized in monetary policy operations.

The central bank’s communications about its liquidity tools and framework materially affect the level of stigma. In Canada, the eurozone, Switzerland, and the UK, the central bank’s public stance is that short-term borrowing from the standing facility is a perfectly acceptable source of liquidity for solvent banks and is available on-demand. This stance is mirrored in supervisory messaging to banks. Notably, neither of these things have consistently been true in the US since the current incarnation of the discount window was launched in 2003. That redesign was initially accompanied by clear and repeated communication to banks and the general public that primary credit borrowing was desirable—both as a mechanism to support interest rate control for monetary policy and as a tool to ensure distribution of reserves to where they were needed—and that it would be granted on a “no questions asked” basis (Federal Reserve 2002; Madigan and Nelson 2002). However, this messaging faded amid criticism of the Fed’s lending to banks (and nonbanks) during and after the GFC. While Fed policymakers have recently been making a concerted effort to urge that all banks be ready to use primary credit and that they should use it when needed,⁵ (Board of Governors 2002; Madigan and Nelson 2002) many banks continue to report that their supervisors and/or senior management continue to discourage use (McLaughlin 2024b). Indeed, the May 2023 version of the Office of the Comptroller of the Currency’s supervisory handbook on liquidity still contains language casting doubt on its availability when needed: “The discount window is available to relieve liquidity strains for individual banks as well as the banking system, but the Federal Reserve Banks are not required to lend through the discount window” (OCC 2012).

As discussed in a previous article, this language reflects the so-called “constructive ambiguity” about discount window lending that was built into Section 10B of the Federal Reserve Act with the passage of the FDIC Improvement Act of 1991 (Federal Reserve 2017; McLaughlin 2024a). This language appears to reflect concerns about lending to failing institutions but does not distinguish between sound and weak banks and thus applies uncertainty to all discount window lending. Such uncertainty is not present in other central

⁵ See, for example, Vice Chair Barr’s May 20, 2024, speech and President Logan’s May 10, 2024, reported remarks (Barr 2024; Derby 2024).

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banks' communication about their on-demand standing facilities and is not consistent with the idea of routine access to liquidity; thus, it contributes to stigmatization of primary credit in the US.

The way a central bank communicates about eligibility for its routine, on-demand facility can affect the level of stigma associated with it. The Fed's discount window website describes primary credit as a tool for "generally sound" banks and secondary credit as a tool for "banks not eligible for primary credit," implying that "unsound" banks can borrow from the discount window. Primary and secondary credit eligibility are determined by the composite CAMELS rating of the bank, leaving little room for judgment about lending to a bank whose condition has deteriorated materially since its last supervisory examination and rating update (Federal Reserve 2024b). This can be viewed as a more comprehensive, and in theory more effective, approach to assessing a bank's safety and soundness than simply focusing on capital adequacy. But reliance on a numerical rating is only as sound as the timeliness of that rating. CAMELS ratings are not updated frequently; Silicon Valley Bank and Signature Bank are only the latest examples of banks that had a composite rating of 3 or better until shortly before failure. Indeed, the failure of banks that were eligible for primary credit until just before their demise may itself have contributed to the stigma associated with primary credit.

By contrast, the BoC, BoE, ECB, and SNB all simply state that the on-demand standing facility is available only to solvent banks, while not defining solvency precisely. This approach retains room for judgment in lending decisions that can help to promote financial stability, while also signaling to the public that use of the on-demand standing facility is not to be interpreted as a sign of distress at the borrowing bank, thereby mitigating stigma.

Including central bank borrowing capacity in supervisory measures of contingent liquidity resources helps to reduce stigma. While the Fed worked closely with supervisors in the years immediately following the 2003 redesign of the discount window to align on the "no questions asked" messaging on primary credit usage, the new liquidity and resolution planning requirements put in place in the US after the GFC generally did not count primary credit borrowing capacity toward a bank's contingent liquidity resources (Federal Reserve 2003). Figure 5 summarizes how central bank borrowing capacity is currently treated in the supervisory frameworks of Canada, the UK, the eurozone, and Switzerland. A comparison to the US shows that some other jurisdictions have gone a bit further to integrate central bank liquidity provision into the regulatory view of banks' options for contingent liquidity management. For example, some jurisdictions permit a bank to count its capacity to borrow at the routine standing facility (as measured by pre-positioned collateral value) in its internal stress tests and/or resolution funding plans. And some require all eligible banks to test usage of the standing facility regularly, as US banking regulators are now considering (Johnson 2024).

Some features of the US institutional framework for liquidity provision pose unique challenges for stigma reduction that other central banks do not face. For example, the Fed is required by law to publish the details of all discount window lending transactions, including borrower and amount, at a two-year lag; this disclosure is widely viewed as a factor driving

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discount window stigma (Kelly 2024). No other central bank makes individual borrower information available to the public. Moreover, the format of the Fed's weekly publication of balance sheet data causes certain borrowers to be identified by the market within a week of borrowing (Kelly 2024).

A second feature is the Federal Home Loan Bank (FHLB) system. FHLBs are government-sponsored enterprises that were established in 1932 to provide liquidity to banks to support housing finance and community investment (FHLB n.d.). The FHLB system has grown over time to become a large-scale provider of funding to banks beyond the scope of housing finance, often on terms more favorable than those at the Fed's discount window (Kelly, McLaughlin, and Metrick 2024). The FHLBs are viewed by many banks as a preferable alternative to the Fed for obtaining funding in size, due to their ability to lend at longer terms than the discount window and their relative operational efficiency and pricing.

A penalty rate does not necessarily create stigma if the central bank's standing liquidity facility is clearly branded as a tool for sound banks. Figure 2 shows variability in practice across central banks with respect to pricing of routine liquidity facilities. Some central banks tier loan pricing based on collateral type; some add a premium in pricing term lending while others do not. Notably, the BoC, BoE, ECB, and SNB all price their liquidity facilities at varying spreads above the policy rate yet observe little or no stigma associated with their usage. In contrast, the Fed's highly stigmatized primary credit program is currently priced right at the top of the policy target range. Factors other than price clearly matter for stigma.

Policy Recommendations

The BoC, BoE, ECB, and SNB have all established effective standing liquidity tools that their banks are willing to use when needed. Since the GFC, the BoC and the BoE have both revised their frameworks for liquidity provision to overcome the stigma associated with earlier tools. They did so through clear, ongoing public communication about the framework (as shown in the excerpts in Figure 4) and by taking steps to align supervisory expectations with the policy message about the legitimacy of use of standing facilities (as summarized in Figure 5). And as shown in Figure 4, the ECB and the SNB both explicitly describe the on-demand standing liquidity facilities for healthy banks as being part of their overall monetary policy implementation frameworks. The experiences of these central banks suggest several actions the Fed could take, in partnership with the other bank regulators, to establish an on-demand liquidity facility that is not highly stigmatized.

- 1. Separate the administration and governance of routine, on-demand lending to sound banks from lending to weaker institutions to support restructuring or resolution.**

The experiences of other central banks suggest that drawing a brighter line between funding for healthy banks and funding for weak banks with respect to public communication, program administration, and governance could help to avoid the stigmatization of tools for

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lending to healthy banks by proximity to tools for lending to weaker banks. Redesigning and rebranding the Fed's tools for liquidity provision in a manner that clearly distinguishes recovery and resolution funding for troubled banks from a new on-demand standing liquidity facility for sound institutions is essential to ensure the on-demand facility is not stigmatized.

2. Communicate clearly and resolutely to the public that use of the new on-demand liquidity facility is appropriate for healthy banks—through both policy and supervisory channels.

As noted above, the Fed had some success doing this at its launch of the primary and secondary credit programs in 2003. The Fed could leverage its dual role as liquidity provider and bank regulator to pursue such alignment again. Aligning supervisory and policy messaging to banks that the standing facility is “open for business,” as the BoE describes its liquidity provision tools, is crucial to overcome the learned views of bankers (and those who invest in or write about them) that borrowing from the central bank is to be avoided at all costs. Doing so will make the Fed's liquidity provision toolset much more effective at safeguarding financial stability in stress.

3. Recalibrate supervisory requirements to support a new routine, on-demand lending tool without stigma.

Aligning regulatory and supervisory requirements for banks' liquidity risk management with the idea that the Fed's standing liquidity facility for sound banks is a legitimate source of contingent liquidity would go a long way toward reducing stigma. Some other jurisdictions allow banks to count their capacity to borrow at the central bank's on-demand facility in their internal stress tests and/or resolution plans; the US should do this as well. And as noted above, the institutional framework for liquidity provision in the US has some features that amplify stigma that other central banks do not face. To compensate for these challenges, reducing stigma might thus require the US to go further than others must to incentivize bank usage of central bank liquidity facilities when needed. For example, supervisors could count some fraction of a sound bank's pre-positioned loan collateral in the numerator of its Liquidity Coverage Ratio (LCR), on the grounds that this collateral could be monetized on a same-day basis at the standing facility or include it in the denominator of the ratio as an expected inflow from borrowing from the routine, on-demand facility.

4. Evaluate whether including banks more fully in the Fed's counterparty framework for monetary policy operations could help to avoid stigmatization of the new on-demand standing liquidity facility for healthy banks.

As noted above, in other jurisdictions banks are counterparties to the central bank in its monetary policy operations and can obtain liquidity in repo operations in periods when the central bank is expanding its balance sheet. Integration of bank borrowing into the monetary policy framework can help to reduce the stigma associated with central bank borrowing. An evaluation of the extent to which including banks more fully in the Fed's counterparty framework for monetary policy operations could help to mitigate stigma in periods of policy

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easing—for example, by creating a new tier of counterparties for repo operations, as has been done for reverse repo operations—would be worthwhile. While banks are eligible to use the standing repo facility (SRF) that was established in 2021 to support repo market functioning, they have generally not used it due to the above-market rate. In contrast, repo operations to implement monetary policy are conducted through an auction in which all primary dealers are required to participate, and which results in an auction-determined price.

5. Improve the timeliness of assessments of bank condition and communicate publicly about eligibility for the on-demand facility accordingly.

Perhaps the greatest difficulty a central bank faces as a lender is determining whether a bank is eligible for routine, on-demand liquidity or not. The “solvency” standard that other central banks use to determine who can use their on-demand liquidity facility is broad enough that it provides some room for judgment amid uncertainty about whether the bank is truly a going concern or not.

In contrast, use of a very specific metric such as the composite CAMELS rating—and transparency to the public about this decision rule—carries two risks. The first risk is that reliance on a very specific metric may constrain judgment about, and flexibility to address, a bank’s situation in a stressed market environment. If supervisors downgrade the composite rating below 3, the central bank must mechanically deny the bank access to primary credit, regardless of the reason for the downgrade or prospects for recovery. A bank that becomes undercapitalized should of course be removed from primary credit, per the FDICIA restrictions on lending to undercapitalized banks (Federal Reserve 2017). But CAMELS downgrades can occur due to downgrades in component ratings other than capital adequacy, and there might be situations in which a mechanical denial of primary credit might not be the right action to take from a financial stability standpoint. The second risk is that given the time lag between supervisory ratings updates and the speed at which a bank’s condition can change materially, primary credit can be extended to a bank that is truly troubled, prolonging its life when it should in fact be closed.

As a new on-demand liquidity facility for healthy banks is implemented, eligibility for it should be communicated carefully, in a manner that reserves some decision space for policy makers to make the difficult determination in real time that a borrower is no longer healthy, as other central banks have done. It would also be advisable to supplement CAMELS ratings that are often stale with more timely judgments about current and future health when a bank comes under pressure, to support the central bank’s lending decisions. The work now being undertaken in the US to improve supervisory processes may yield improvements on this front.

Conclusion

Amid growing debate about the currency of the discount window infrastructure and suggestions by Fed officials that they are looking to support financial stability by

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modernizing and destigmatizing discount window lending operations, the time seems ripe for consideration of design improvements to address the important issue of stigma. The experiences of the BoC, BoE, ECB, and SNB suggest that it is possible to do so—with the right framework design; the right communication; and good alignment between policy, regulatory and supervisory messages. Fortunately, the design, communication, and supervisory changes that are needed to establish an on-demand lending tool that healthy banks can and will use lies largely within the Fed’s and the other banking regulators’ existing authorities.

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